

Senior Securities of Questionable Safety

AT THE LOW POINT of the 1932 securities market the safety of at least 80% of all corporate bonds and preferred stocks was open to some appreciable degree of doubt.¹ Even prior to the 1929 crash the number of speculative senior securities was very large, and it must inevitably be still larger for some years to come. The financial world is faced, therefore, with the unpleasant fact that a considerable proportion of American securities belong to what may be called a misfit category. A low-grade bond or preferred stock constitutes a relatively unpopular form of commitment. The investor must not buy them, and the speculator generally prefers to devote his attention to common stocks. There seems to be much logic to the view that if one decides to speculate he should choose a thoroughly speculative medium and not subject himself to the upper limitations of market value and income return, or to the possibility of confusion between speculation and investment, which attach to the lower priced bonds and preferred stocks.

Limitation of Profit on Low-Priced Bonds Not a Real Drawback. But however impressive may be the objection to these nondescript securities, the fact remains that they exist in enormous quantities, that they are owned by innumerable security holders, and that hence they must be taken seriously into account in any survey of security analysis. It is reasonable to conclude that the large supply of such issues, coupled with the lack of a natural demand for them, will make for a level of prices below their intrinsic value. Even if an inherent unattractiveness in the *form* of such securities be admitted, this may be more than offset by the attractive *price* at which they may be purchased. Furthermore, the limitations of

¹ See Appendix Note 42 for data on bond prices in 1931–1934 and 1939.